THE ROLE, TECHNICALLY

What you would actually learn in Ares Client Solutions

A technical manual for a role most people describe in generalities. Built around real Ares funds, real fee schedules, and the real questions an investor asks — explained from zero, with nothing assumed.

1 What the team is, and the one structural thing it does differently

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Every number is from Ares' FY2025 Form 10-K (SEC EDGAR, CIK 1176948) unless stated, with market context from Q1 and Q2 2026 earnings calls, PitchBook BDC data, ILPA guidance and contemporaneous reporting.
Compiled 11 October 2026. Fund performance figures are as at 31 December 2025. Ares reports Q3 2026 on 29 October.

PART 1

What the team is — in one page

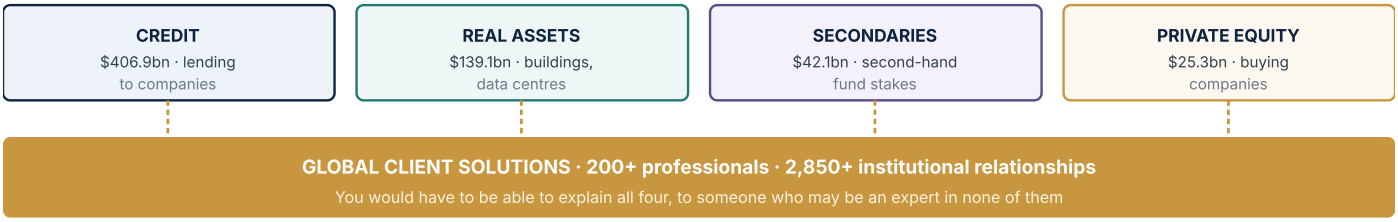
The structural fact first, because everything technical follows from it.

Client Solutions is the team that owns the relationship between Ares and the people whose money it manages. It is not a support function attached to the investment teams. It is a separate, firm-wide group — and **where it sits in the org chart determines what you would learn**.

The structural fact. Ares reports in five buckets: four investment groups (Credit, Real Assets, Secondaries, Private Equity) plus the **Operations Management Group**. Client Solutions, Investor Relations and wealth distribution sit in the OMG, and the 10-K states the OMG's "revenues and expenses are **not allocated to our operating segments**."

In plain terms: the team sits *underneath all four investment groups at once*, not inside one. A salesperson at a firm organised the other way learns one asset class deeply. Here, an investor might buy senior secured loans to US mid-market companies, a Japanese logistics portfolio, a stake in somebody else's private equity fund bought second-hand, or a loan secured on music royalties — and the same person covers all of it.

Four product factories, one client-facing team



The learning consequence: breadth is not a perk of this seat, it is a requirement of it. That is the first technical thing to understand about the role.

AUM as at 31 December 2025. Source: Ares FY2025 Form 10-K.

PART 2

Anatomy of the product: the fee stack

You cannot sell a fund you cannot price. This is the actual mechanism.

Every conversation you would have eventually reaches the same question: *what am I paying, on what, and when?* Ares' fees are not a single number. They are a stack of four components that behave differently. Here is the whole thing, using Ares' own published schedules.

The four layers, and what each one is charged on

1. BASE MANAGEMENT FEE — the bedrock

A percentage of a *fee base*, charged whether the fund is up or down. The fee base is the technical bit: it can be committed capital, invested capital, NAV, gross asset value, or par value of collateral — and it can **change mid-life**.
Ares examples — ARCC: **1.50% of total assets excluding cash** · ASIF: **1.25% of NAV** · US/European direct lending funds: 0.75%–1.50%

2. PART I FEE — the quarterly income fee

A share of the fund's *net investment income* each quarter, but only above a hurdle. Ares classifies this as a management fee, not a performance fee, because it is predictable, recurring and cash-settled quarterly.
ARCC: **20% above a 1.75%/quarter hurdle** · ASIF: **12.5% above 1.25%/quarter** — note ASIF is the cheaper vehicle on both layers

3. PART II FEE / CARRIED INTEREST — the upside share

Part II: paid annually on realised capital gains. Carried interest: typically ~20% of profits, but only after investors receive all their capital back plus a preferred return. Lumpy, uncertain, and the partners' main upside.

4. THE OFFSETS — the layer nobody reads

Expense support agreements: Ares may *advance* expenses to support distribution of wealth vehicles. These are recoverable, and recovery **reduces Ares' own Part I fees until repaid**. Fees can also step down — see below.

The step-down — the single most common technical question on a closed-end fund. During the investment period, an opportunistic credit fund charges 1.50%. Afterwards it **steps down to between 1.00% and 1.25%**, and the *base* often changes too — from committed capital to invested capital, or to the cost of remaining unrealised investments. So the fee falls twice: the rate drops *and* the thing it is charged on shrinks. Most candidates do not know this happens at all.

Why this matters for the role: an investor comparing Ares to a competitor is rarely comparing a single headline rate. They are comparing fee *bases*, hurdles, catch-ups and step-downs. Being able to walk that stack is the baseline technical competence of the job.

Catch-up, explained once. A hurdle means the manager earns nothing until the fund returns a minimum. A **catch-up** then lets the manager collect its full percentage *from the first dollar* once the hurdle is cleared, rather than only on the excess. ARCC's Part I fee has a 20% rate, a 1.75%-per-quarter hurdle and a 20% catch-up. Without the catch-up the manager would earn materially less; with it, crossing the hurdle is a cliff rather than a ramp.

EDGE · CATCH-UP FEES ARE A DIFFERENT THING WITH THE SAME NAME

Confusingly, Ares also uses "catch-up fees" to mean something else entirely: fees "charged retroactively on limited partner commitments to a fund **following the initial close**", so that investors who join later are treated equally with those who came in first. On earnings calls Ares flags when a quarter contains **no** catch-up fees — because their presence or absence distorts quarter-on-quarter fee growth. If you can distinguish a *catch-up provision* (performance) from *catch-up fees* (late closers), you are already using the vocabulary correctly.

PART 3

The five numbers you must be able to defend

This is the technical heart of the job. Each one has a trap in it.

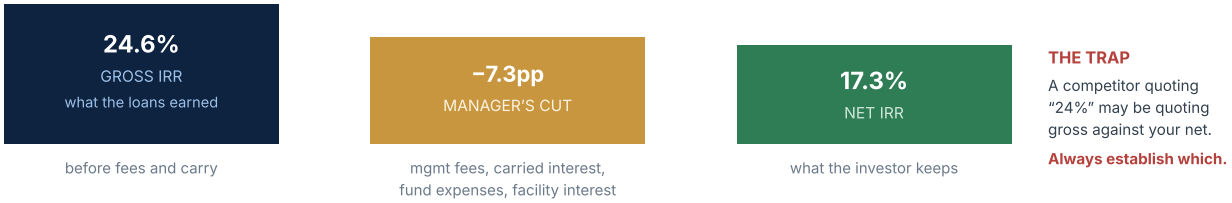
An investor will not ask "is this a good fund?". They will ask about a specific number, and the question is almost always testing whether you know the number's weakness. Here are the five, each explained from zero, each with the trap named.

3.1 Gross versus net

Gross return is what the investments earned. **Net return** is what the investor actually received, after management fees, carried interest, fund expenses and credit facility interest.

The gap is the cost of the manager. For **SDL III Levered**, Ares' 2023-vintage US senior direct lending fund, the gross IRR was **24.6%** and the net IRR **17.3%** — a spread of **730 basis points**.

SDL III Levered — where 730 basis points go, at 31 Dec 2025



Source: Ares FY2025 Form 10-K, Credit Group fund performance metrics. Past performance is not indicative of future results.

3.2 Levered versus unlevered — the same fund, two different answers

This is the one that genuinely surprises people. Ares offers many credit funds in two sleeves. The **unlevered** sleeve holds the loans outright. The **levered** sleeve borrows against them to buy more. Same manager, same loans, same vintage — very different returns.

FUND AND SLEEVE	GROSS IRR	NET IRR	NET MOIC	WHAT IT TELLS YOU
SDL III Unlevered US direct lending, 2023	12.9%	9.6%	1.1x	The levered sleeve produced **nearly double the gross IRR** from the same underlying loans. Leverage amplifies both directions — in a downturn the same mechanism works against you.
SDL III Levered	**24.6%**	**17.3%**	1.1x	
ACE VI Unlevered European direct lending, 2022	12.3%	8.8%	1.1x	The same pattern in Europe, with a narrower spread. Comparing the two spreads tells you how much leverage each sleeve carries.
ACE VI Levered	18.6%	13.2%	1.1x	

Source: Ares FY2025 Form 10-K, as at 31 December 2025. ACE VI figures combine the levered and unlevered parallel funds converted to US dollars at quarter-end rates.

THE TRAP

Note the **net MoIC is 1.1x for all four**. Leverage has transformed the IRR while barely moving the multiple. That is because IRR is time-sensitive and MoIC is not — borrowing lets you deploy sooner and return cash faster, which flatters an annualised rate far more than a multiple. **If someone quotes you a direct lending IRR without saying whether the sleeve is levered, the number is close to meaningless.** This single distinction will put you ahead of most people in the building's first-year analyst cohort.

3.3 IRR versus MoIC

MoIC (multiple of invested capital) is simply money out divided by money in. 1.4x means you got £1.40 back for every £1. It ignores time entirely. **IRR** is the annualised rate of return, and it is extremely sensitive to *when* cash moves.

A fund returning 1.4x over three years has a far higher IRR than one returning 1.4x over eight years, despite identical multiples. An investor who cares about compounding asks for IRR; one who cares about total value asks for MoIC. **Good managers publish both, and Ares does.**

3.4 The subscription line — the most technical thing in this report

A subscription credit facility is a loan the fund takes, secured against investors' unfunded commitments. Instead of calling cash from investors to buy an asset, the fund borrows, buys, and calls the cash later.

This is administratively convenient and completely standard. It also **mechanically inflates the fund's IRR**, because IRR measures returns from the moment investors' money leaves their account — and the facility delays that moment.

> EDGE · ARES DISCLOSES THIS AGAINST ITSELF, IN ITS OWN 10-K
>
> Ares states, in the footnotes to every fund performance table: *"Early in the life of a fund, the gross fund-level MoICs **would generally have been lower** had such fund called capital from its limited partners instead of utilizing the credit facility."* The same sentence appears for net MoIC, gross IRR and net IRR — **sixteen times** across the FY2025 10-K.
>
> Why this matters: the **Institutional Limited Partners Association (ILPA)** — the body representing investors — has issued guidance since 2017 asking managers to report net IRR **both with and without** the facility, precisely because it distorts comparisons. ILPA notes there is still "not an agreed upon methodology" for doing so. **A sophisticated investor will ask this question**, and knowing that Ares already flags it is exactly the kind of preparation that separates a good answer from a flustered one.

3.5 Currency sleeves — the detail hiding in a footnote

SDL III accepts commitments in **US dollars, sterling and yen**. The headline 12.9% gross / 9.6% net is for dollar investors. For **sterling** investors the same fund returned **13.8% gross and 10.3% net**.

Same fund, same assets, same manager, different answer depending on which currency you committed in — driven by hedging costs and interest rate differentials between currencies. If a UK pension scheme asks "what did SDL III return?", the correct response begins with a question: *in which currency are you committed?* That is the technical reflex this job builds.

PART 4

Worked example: SDL III, read line by line

One row of a 10-K table, fully decoded. This is what fluency looks like.

Below is the actual disclosure line for Ares Senior Direct Lending Fund III. If you can read this row out loud and explain every field, you can hold a technical conversation about any Ares credit fund.

SDL III Levered • U.S. Direct Lending • 2023 • AUM $27,353m • Commitments $11,959m • Invested $4,540m • Realised $407m • Unrealised $4,766m • Total $5,173m • 1.2x / 1.1x • 24.

Year of inception: 2023
The vintage. Loans written into 2023–25 conditions — high base rates, wide spreads.

AUM $27,353m vs Commitments $11,959m
AUM includes fund-level debt and undrawn capital. Commitments are investor promises onl

Capital invested to date: $4,540m
Of $11,959m committed, 38% is deployed. The rest is dry powder still to be called.

Realised $407m · Unrealised $4,766m
Only 8% of value is cash in hand. The rest is a *valuation* — hence the valuation questions.

Gross MoIC 1.2x · Net MoIC 1.1x
Money out over money in. The 0.1x gap is the manager's cut expressed as a multiple.

Gross IRR 24.6% · Net IRR 17.3%
Annualised. Flattered by leverage *and* by the subscription facility.

The sentence that ties it together — say this and you sound like you work there

"SDL III is a 2023-vintage senior direct lending fund. The levered sleeve shows a 24.6% gross and 17.3% net IRR, but the net MoIC is only 1.1x — so most of that IRR is leverage and deployment timing, not multiple. Thirty-eight percent of commitments are drawn, and ninety-two percent of total value is still unrealised, so it is early."

What a weak candidate says instead

"SDL III has returned 24.6%." — wrong sleeve unstated, gross quoted as if net, no acknowledgement that the fund is two years old and barely realised.

All figures from Ares FY2025 Form 10-K, Credit Group fund performance metrics, as at 31 December 2025. Dollar-committed investors. Past performance is not indicative of future results.

PART 5

The question bank

Ten real questions, with the technical answer and the number behind it.

This is the closest thing to a transcript of the job. Each question is one a genuine institutional investor or wealth platform asks. The answers use Ares' disclosed figures.

1. "What is your non-accrual rate, and how do you define it?"

WHY THEY ASK · THE SINGLE MOST IMPORTANT HEALTH METRIC IN CREDIT

A **non-accrual** is a loan where the borrower has stopped paying and the lender stops booking the interest as income. It is the first hard evidence of credit deterioration. **ARCC's non-accruals at amortised cost were 1.8% at end-2025, 2.1% in Q1 2026 and 2.4% in Q2 2026** — three consecutive increases — against roughly 1.4% at fair value and a historical average near 3% since the financial crisis. The honest answer names the trend *and* the benchmark. Note "at cost" and "at fair value" give different numbers; always say which.

2. "How much of your income is PIK?"

WHY THEY ASK · NON-CASH INCOME CAN DISGUISE STRESS

PIK means payment-in-kind: instead of paying interest in cash, the borrower adds it to the loan balance. Sometimes that is a deliberate structure for a growing company; sometimes it is a struggling borrower being granted relief. Across the fifteen largest listed BDCs, PIK ran at about **8.2%–8.3% of total interest income through 2026**, the lowest since Q4 2023. Concentration is uneven — **Prospect Capital at 35%, FS KKR 27%, Blackstone Secured Lending 20%**. Ares does not appear among the highest. A Lincoln International estimate put ~11% of private credit portfolios as carrying PIK, of which ~6% was distress-driven.

3. "Is that IRR with or without the subscription line?"

WHY THEY ASK · THE SOPHISTICATED INVESTOR'S TEST QUESTION

See 3.4. Ares' own footnotes state returns "would generally have been lower" without the facility. ILPA has asked since 2017 for net IRR reported both ways, and acknowledges there is no agreed methodology. **The right answer is not a number, it is transparency about method** — which is exactly what ILPA asks for.

4. "What is the loan-to-value on the portfolio?"

WHY THEY ASK · IT MEASURES THE CUSHION BENEATH THE LOAN

LTV is the loan divided by the enterprise value of the borrower. At 40% LTV, the company's value would have to fall by 60% before the lender loses a penny — the equity owner absorbs losses first. Ares' software book runs at roughly **40% LTV** with about **10% EBITDA growth** and a weighted average remaining maturity near **three years**.

5. "Given AI, what is your software exposure?"

WHY THEY ASK · THE DEFINING MARKET QUESTION OF 2026

Software is about **6% of total AUM and under 8% of private credit AUM**. Ares commissioned a **nine-week review by a top-three consultancy**: **86% of the software portfolio low risk, 13% medium, 1% high**, putting medium-to-high at **under 2% of US and European direct lending AUM and under 1% firm-wide**. Supporting evidence from traded markets: loans to core operational software are down ~2% year-to-date while content-generation and productivity software loans are down ~24% and trade below 65.

6. "Why did you pro-rate the tender, and will it happen again?"

WHY THEY ASK · THEY COULD NOT GET THEIR MONEY OUT

ASIF received repurchase requests of **11.6% of shares in Q1 2026 against a 5% cap** — **43.1% of each request was honoured, paying out $523.5m** — then **14.4% in Q2**. The context that matters: requests from the **US private wealth channel were only 2.4% of shares**, down more than 35% quarter-on-quarter, and nearly half of all requests came from smaller non-US institutions and family offices representing **under 1% of the fund's 20,000+ shareholders**. Management's stress case: the full 5% cap every quarter for a year with zero inflows would cost about **1% of fee-paying AUM**.

7. "What happens to the fee after the investment period?"

WHY THEY ASK · TOTAL COST OF OWNERSHIP OVER THE FUND'S LIFE

It usually falls twice. An opportunistic credit fund charges 1.50% during the investment period, then **steps down to 1.00%–1.25%**, and the base changes from committed capital to invested capital or the cost of remaining unrealised investments. For corporate private equity the step-down is to **0.75%–1.00%**, triggered by the earlier of the investment period ending *or* a successor fund activating.

8. "Who else is in the fund, and how concentrated is it?"

WHY THEY ASK · CO-INVESTOR QUALITY AND EXIT RISK

An investor wants to know they are not the only one, and that no single holder could force a liquidation. Ares raised 2025 commitments from **over 540 institutional investors, 235 of them new**, across **190+ vehicles**, with **2,850+ direct institutional relationships**. This is also where alignment lands: **Ares and its employees have over $7.2bn committed**, of which **$3.6bn is employee money** — more than the firm's own $3.4bn.

9. "How do you value assets nobody trades?"

WHY THEY ASK · 92% OF SDL III'S VALUE IS UNREALISED

This is the **number one trust driver** in LP surveys — 39% named clear explanation of valuation methods and assumptions, more than any other factor. For private loans, valuation typically rests on discounted cash flow and comparable market yields, reviewed by independent third parties and the fund's auditors. **You would not perform the valuation; you would have to explain it** — which is why this role teaches you how a mark is actually built.

10. "What did you learn from First Brands and Tricolor?"

WHY THEY ASK · TESTING WHETHER YOU DEFLECT

Both 2025 collapses were **fraud**, not credit cycle: Tricolor pledged the same auto-loan collateral to multiple lenders; First Brands collapsed with $11.6bn of liabilities amid allegations of fabricated receivables and double-pledged inventory. Ares' own 10-K concedes the industry faces "increased negative publicity... following certain high profile defaults and bankruptcies" while noting Ares "**has not been involved in those particular defaults**." The good answer moves to process — collateral verification, lender documentation, being lead or sole lender so you control the terms.

PART 6

Inside a DDQ

The document that wins or loses mandates before anyone meets anyone.

A DDQ — due diligence questionnaire — is a standardised document an investor sends before committing. **An RFP** — request for proposal — is a competitive tender, often run by an investment consultant on behalf of a pension scheme. Both are written, scored, and frequently decide the outcome before a single meeting happens.

Ares has a **dedicated RFP & Diligence team** sitting under the COO of Global Client Solutions. At most firms this work is done badly, late, by a salesperson. Building a standing team for it is a deliberate choice — and as an intern it is one of the places you would most plausibly do real work, because the questions are factual and the sources are internal.

6.1 What is actually in one

SECTION	REPRESENTATIVE QUESTIONS — AND WHAT THEY ARE REALLY TESTING
Firm and ownership	Who owns the manager? Is it a controlled company? What is employee ownership? *Testing: stability and alignment. Ares' answers are unusually strong — 37.13% employee ownership, $3.6bn of employee capital in the funds.*
Team and key persons	Who are the key persons? What happens if they leave? *Testing: whether the fund's governing documents let investors suspend or terminate the investment period on a key-person departure — Ares discloses that they can.*
Track record	Gross and net IRR and MoIC by vintage; realised versus unrealised; returns with and without the subscription facility. *Testing: everything in Part 3.*
Valuation policy	Who values assets? How often? What independent review? *Testing: the #1 trust driver in LP surveys.*
Fees and expenses	Full fee schedule, bases, step-downs, hurdles, catch-ups, offsets, what expenses the fund bears. *Testing: whether the total cost of ownership is as advertised.*
Risk and portfolio	Non-accruals, PIK share, LTV, sector and single-name concentration, leverage. *Testing: the credit quality questions in Part 5.*
Operations and controls	Fund administrator, auditor, custodian, cybersecurity, business continuity, compliance programme. *Testing: operational due diligence, which can veto a mandate on its own regardless of returns.*
Terms	Fund life, extensions, redemption rights, transfer restrictions, most-favoured-nation provisions, waterfall type. *Testing: what the investor can actually do if things go wrong.*

EDGE · WHY THE DDQ IS THE BEST TECHNICAL TEACHER IN THE BUILDING

A DDQ forces you to source every claim. You cannot write "strong performance" — you must write the net IRR, name the vintage, state the sleeve and footnote the methodology. **Working on DDQs is how client-facing people in this industry actually learn the technical material**, far more than from pitch decks. If you are asked in interview what you would want to work on, naming the DDQ and RFP process is a genuinely sophisticated answer, and almost nobody gives it.

Waterfall, since it appears above. The order in which fund profits are split. **European-style**: the manager earns carried interest only after investors get back *all* their capital plus a preferred return. **American-style**: carry is paid deal by deal, as each investment is realised. European is more investor-friendly, and **Ares' credit funds predominantly use it** — the 10-K labels ASOF, Pathfinder and other funds "European".

PART 7

The semi-liquid machine

How a private-credit fund gives individual investors monthly access to illiquid loans.

The wealth channel runs on a structure most people — including most finance students — cannot explain. It is the engineering problem at the centre of the industry's growth, and it is why 2026 has been difficult.

The problem: the underlying assets are loans that take years to repay. The investors are individuals who expect to get money back on request. Those two facts are incompatible, and the semi-liquid structure is the compromise.

How money gets in, and how it gets out

GETTING IN — easy, monthly

Shares are sold at **net asset value**, usually monthly. NAV is struck by valuing every loan in the portfolio, dividing by shares outstanding. An investor buys at that price. No queue, no cap.

GETTING OUT — rationed, quarterly

The fund makes a **tender offer**, typically to buy back up to **5% of shares per quarter**. Investors who want out submit a request. Many funds also charge an **early repurchase deduction** — commonly 2% within year one.

WHEN REQUESTS EXCEED THE CAP — pro-ration

If 11.6% of shares ask to leave and the cap is 5%, the fund cannot honour everyone. Each request is scaled down by the same factor.

In ASIF's Q1 2026 tender, **43.1% of each request was honoured**, paying out **$523.5m**. An investor asking for £100,000 received £43,100.

They must then re-apply next quarter. **The cap is a feature, not a failure** — without it the fund would be forced to dump loans at distressed prices.

Why this is the hardest conversation in the job

The person explaining pro-ration did not set the cap, cannot change it, and is telling someone they cannot have their own money this quarter. Doing that well — accurately, without defensiveness, with the structural reason — is the single most valuable thing you could learn in 2026.

Sources: Ares Q1 and Q2 2026 disclosures on ASIF tenders; early repurchase deduction terms are a standard feature of US evergreen and non-traded BDC structures, not specific to Ares.

THE TECHNICAL POINT WORTH INTERNALISING

A semi-liquid fund is a liquidity transformation engine. It converts assets that take 3–7 years to repay into a product offering quarterly partial liquidity, and it manages the mismatch with a cap. Every argument about private credit and retail investors — including the questions from the House Financial Services Committee in April 2026 — is ultimately an argument about whether that transformation is honestly explained. **Being the person who explains it honestly is the job.**

PART 8

The live news that lands on your desk

Four running stories in 2026, each producing a specific question you would answer.

THE STORY	WHAT HAPPENED	THE QUESTION IT PRODUCES — AND WHAT YOU WOULD LEARN ANSWERING IT
AI and software BIGGEST	Investors decided AI might destroy mid-market software companies. ARES fell ~32% in Q1 2026 and was at one point 46% off its peak.	*"How exposed are you?"* Answering it teaches you to decompose a portfolio by sector, understand **why core operational software differs from content-generation software**, and use third-party validation (the nine-week consultant review) rather than assertion. This is portfolio analysis, taught by necessity.
Fraud and documentation	Tricolor double-pledged collateral; First Brands collapsed with $11.6bn of liabilities amid alleged fabricated receivables. Both 2025.	*"How do you know your collateral exists?"* Teaches you **loan documentation, collateral perfection and why being lead or sole lender matters** — Ares' direct lending philosophy is explicitly to lead so it controls "deal terms, capital structure, documentation."
Redemptions and liquidity	ASIF pro-rated two consecutive tenders. Peers were worse — Blue Owl's tech fund saw 41% of shares requested against a 5% cap.	*"Can I get my money out?"* Teaches you the full semi-liquid mechanism in Part 7, plus how to size a worry rather than soothe it (the ~1% of FPAUM stress case).
Political and regulatory scrutiny	On 1 April 2026 Democrats on the House Financial Services Committee sent inquiries to Ares, Blackstone, Apollo, BlackRock, Blue Owl, Carlyle and KKR on marketing, valuation, fees, leverage, incentives, audits, BDC handling and PIK loans.	*"Are you going to be regulated differently?"* Teaches you how **disclosure standards and fund terms respond to political pressure** — and that every topic on that list is one a client team must be able to explain.

The congressional item was a set of written inquiries reported on 1 April 2026, not sworn testimony. Describe it accurately if you raise it.

EDGE · THE PATTERN ACROSS ALL FOUR

Look at the right-hand column. **Every live controversy in private credit converts into a technical question that arrives at the client-facing desk first.** The investment team experiences AI risk as an underwriting problem. Client Solutions experiences it as 200 investors asking the same question in the same month, each needing an accurate, consistent, defensible answer. **That is the actual learning mechanism of this role** — you are forced to understand things properly because you have to explain them repeatedly to people who will check.

PART 9

What you could not learn anywhere else

The honest version: most of this role is learnable at any large manager. These seven things are not.

Plenty of firms would teach you gross versus net. The question is what is specific to *this* platform. Seven things, ranked by how hard they would be to get elsewhere.

#	WHAT YOU WOULD LEARN	WHY ARES SPECIFICALLY — AND WHERE ELSE YOU COULD GET IT
1	**Two direct lending markets, not one**	Ares runs **$189.6bn in US direct lending covering 520+ sponsors** and **$84.7bn in European direct lending covering 435+ sponsors**. European lending is structurally harder — multiple legal systems, languages and insolvency regimes. **Very few firms are genuinely scaled in both**, so very few seats teach you how a UK unitranche differs from a US one. *Elsewhere: possible at a handful of firms, not many.*
2	**Institutional and wealth channels under one roof**	Most managers are predominantly one or the other. Ares is **76% institutional** and simultaneously runs **eight semi-liquid wealth products on 80+ platforms**. You would see a sovereign wealth fund negotiating a bespoke SMA and a private bank adviser asking about a quarterly tender — **the same asset class explained in two completely different technical languages**. *Elsewhere: rare in one seat.*
3	**Insurance-client technical vocabulary**	**$86.5bn of Ares AUM comes from insurance companies**, and insurance fee-paying AUM grew **54% year on year** — the firm's fastest-growing channel. Insurers ask different questions: risk-based capital treatment, asset-liability duration matching, ratings-agency treatment, NAIC designations. *Elsewhere: Apollo and KKR, but there it sits inside an owned insurer rather than a client relationship.*
4	**Structurally complex funds**	SDL III alone has **levered and unlevered sleeves and three currency classes** with materially different reported returns (12.9%/9.6% in USD versus 13.8%/10.3% in GBP, gross/net). Explaining that correctly is a genuine skill, and you only build it on funds that are actually built that way. *Elsewhere: only at managers running multi-sleeve, multi-currency vehicles.*
5	**Secondaries — pricing other managers' funds**	Ares' **$42.1bn Secondaries Group** buys second-hand stakes in other firms' funds. To sell it you must understand **how one manager values another manager's portfolio at a discount** — which teaches you more about valuation than any single-strategy seat. Live example: in July 2026 Ares moved to sell ~$3.4bn of LP interests in its own ACE IV to credit-secondaries buyers. *Elsewhere: specialist secondaries firms, but without the credit platform alongside.*
6	**A dedicated RFP & Diligence function to learn from**	Most firms have no such team, so the technical writing is done ad hoc. Here there is a standing team under the Global Client Solutions COO — meaning there is an actual apprenticeship in sourcing and defending every claim. *Elsewhere: uncommon at this level of formality.*
7	**A stress year, from inside**	2026 gave Ares an AI-driven selloff, two pro-rated tenders, rising non-accruals, and congressional inquiries — while it raised a **record $36.4bn in Q2** and closed **Pathfinder III oversubscribed at $8.5bn** against a $6.5bn target. **You cannot manufacture this.** Learning client communication in a calm year teaches you half the job. *Elsewhere: nowhere, by definition — this window closes.*

CAREFUL · DON'T OVERCLAIM

Items 1, 2, 3 and 5 are about **breadth available in one seat**, not about Ares being the only place each thing exists. The defensible claim is: "very few firms combine scaled US and European direct lending, a large insurance client book, a secondaries platform and a built-out wealth channel in one client-facing team." That is true and specific. "Nowhere else does this" is not, and an interviewer who works at a competitor will know it.

PART 10

Your 1,000-character answer

"What do you hope to learn whilst interning at Ares?"

THE STRATEGY FOR THIS SPECIFIC QUESTION

A 1,000-character limit is roughly 170–180 words — **tight**. That rules out listing four things. The winning structure is: **one technical thing you want to master, one commercial thing you want to understand, and one sentence on why Ares specifically.**

The common failure is naming skills ("communication, teamwork, commercial awareness"). Name **a specific technical capability instead** — it proves you already know what the work involves.

Draft — 938 characters including spaces

Two things, mainly.

First, how to explain a private credit return accurately. Reading Ares' fund disclosures, SDL III's levered sleeve shows a 24.6% gross and 17.3% net IRR, but the net MoIC is only 1.1x, so most of that is leverage and deployment timing. Sterling-committed investors see different figures again. I want to get to the point where I can explain that to someone without oversimplifying it or hiding behind it. Working on DDQs would be the fastest way, because they force you to source every claim.

Second, how investors actually decide. With roughly 79% of institutional fundraising coming from existing investors, retention isn't a service function at Ares, it's the growth engine. I want to understand what makes someone commit to a second product.

I'd also rather learn this in a hard year. Explaining a pro-rated tender to a worried client is harder than explaining a good quarter, and I suspect it teaches you more.

Why this works

- Opens with a **real number from a real fund** — proves you read filings, not the website.
- The MoIC-versus-IRR point is **genuinely technical** and almost nobody will make it.
- The currency sleeve detail is a footnote-level find.
- Links learning to the **commercial model** (79%), not to personal development.
- Naming the **DDQ** is the sophisticated touch — see Part 6. Almost nobody says it.
- The closing line shows you know what 2026 is actually like and are choosing it.
- **Says "learn", not "bring"** — answers the question asked.

What to avoid

- "I hope to learn from industry-leading professionals" — says nothing.
- Listing more than two or three learning goals; the limit punishes breadth.
- Technical terms you cannot explain if asked — **every number here you must be able to unpack.**
- Claiming Ares is unaffected by the downturn. It pro-rated two tenders.
- Repeating your "Why Ares?" answer. If that one used perpetual capital and the 93% figure, keep this one on different ground — as this draft does.

BEFORE YOU SUBMIT

Check the counter on the actual form. Character limits vary in whether they count spaces and line breaks. This draft is 938 characters with spaces, leaving 62 to spare — but if the form counts differently, the easiest cut is the DDQ sentence, which costs 84 characters. **Also be ready to be asked about SDL III in interview.** If you put a fund in your application, you own it: know it is 2023 vintage, US senior direct lending, roughly 38% deployed, 92% unrealised.

PART 11

Sources and honesty notes

SOURCE	USED FOR
Ares FY2025 Form 10-K SEC EDGAR, CIK 1176948, filed 25 Feb 2026	All fund performance figures (SDL III, ACE VI, Pathfinder II) as at 31 Dec 2025, including levered/unlevered sleeves and the sterling currency-class footnote; the complete fee schedules for ARCC, ASIF, CADC and the J-REIT; fee step-downs; Part I hurdles and catch-ups; expense support agreements; the credit facility disclaimer repeated in every performance footnote; the glossary definitions of catch-up fees, perpetual capital and AUM; segment AUM; sponsor coverage; employee and firm commitments; the private credit publicity risk factor.
Ares Q1 2026 earnings call 1 May 2026	Software exposure (~6% of AUM, <8% of private credit AUM); the nine-week consultant review and the 86/13/1 split; the traded-loan 2% versus 24% comparison; ~40% LTV; the ASIF Q1 tender detail; the ~1% of FPAUM redemption stress case.
Ares Q2 2026 release and call	Record $36.4bn raised; AUM $671.3bn; FPAUM $409.9bn; FRE $491.1m; the Q2 tender at 14.4%.
Ares Capital (ARCC) Q4 2025 – Q2 2026 earnings calls	Non-accruals at amortised cost: 1.8%, 2.1%, 2.4%; ~1.4% at fair value; the ~3% post-crisis historical average.
PitchBook BDC analysis, 2026	PIK at 8.2%–8.3% of total interest income across the 15 largest listed BDCs; concentration at Prospect Capital (35%), FS KKR (27%) and Blackstone Secured Lending (20%).
ILPA guidance, 2017 and 2020	Subscription line disclosure: net IRR with and without the facility, and ILPA's acknowledgement that no agreed methodology exists.
Bloomberg and trade press, 1 April 2026	House Financial Services Committee inquiries to Ares and six peers.
2026 SS&C Intralinks LP Survey via secondary coverage	39% of LPs naming clear explanation of valuation methods as the top trust driver.
US evergreen fund prospectuses	The 2% early repurchase deduction and pro-ration mechanics described in Part 7 as standard structural features.

READ BEFORE QUOTING

- **All fund performance is as at 31 December 2025** and historical. Past performance is not indicative of future results. Ares reports Q3 2026 on **29 October 2026** — check it before interviewing.
- **The SDL III figures are for dollar-committed investors** in the levered sleeve unless stated. Sterling investors saw 13.8% gross / 10.3% net on the unlevered sleeve. Always state sleeve and currency.
- **Software percentages depend on the denominator** — ~6% of total AUM and <8% of private credit AUM come from the Q1 call; other reports cite ~12% of the direct lending book. Say which base you mean.
- **The congressional item was written inquiries, not testimony.**
- **The early repurchase deduction is a standard structural feature** illustrated from US evergreen prospectuses generally; I have not verified the specific terms of each Ares wealth vehicle. Check the relevant prospectus before asserting Ares' own terms.
- **The LP survey figure comes from secondary coverage**, not the primary report. Attribute it loosely.
- **The $7.2bn alignment figure** comprises $3.4bn from Ares, $3.6bn from employee co-investment vehicles and $0.2bn of direct employee holdings.

If you remember six things from this document

1. **Gross versus net, and levered versus unlevered.** SDL III: 24.6% gross / 17.3% net levered, against 12.9% / 9.6% unlevered — but **net MoIC is 1.1x for both**.
2. **The subscription line inflates IRR**, Ares says so in its own footnotes, and ILPA has asked for with-and-without reporting since 2017.
3. **Non-accruals are the health metric.** ARCC: 1.8% → 2.1% → 2.4% at cost over three quarters, versus a ~3% post-crisis average.
4. **PIK is the stress tell.** ~8% across large listed BDCs; Ares is not among the concentrated names.
5. **Pro-ration is a feature.** ASIF honoured 43.1% of each Q1 request, paying $523.5m, because the alternative is dumping loans.
6. **Fees step down twice** after the investment period — the rate falls *and* the base changes.